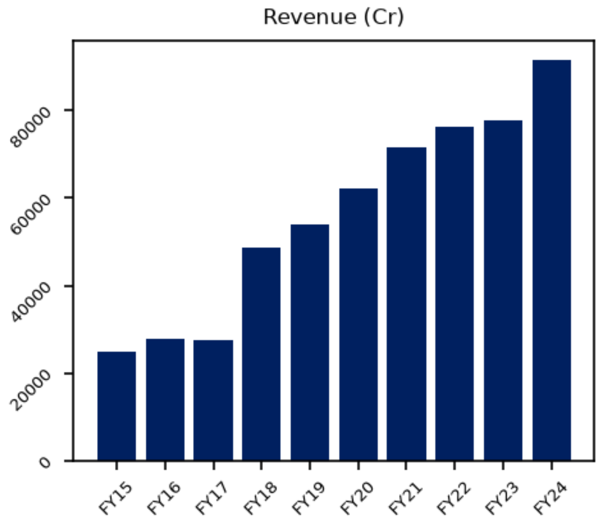
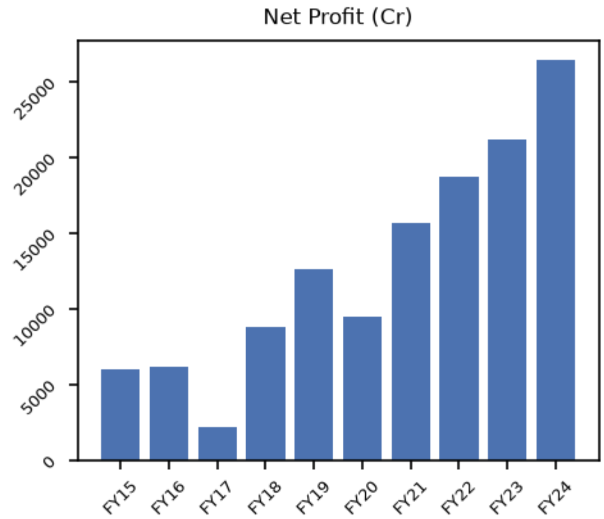
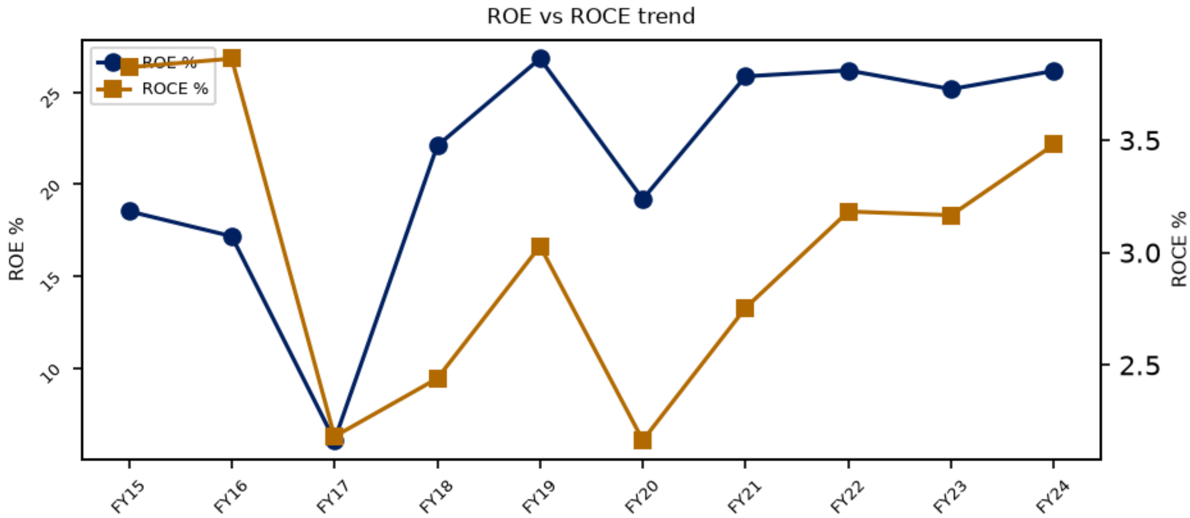
Power Finance Corporation Ltd (PFC) — Financials / Speciality Finance

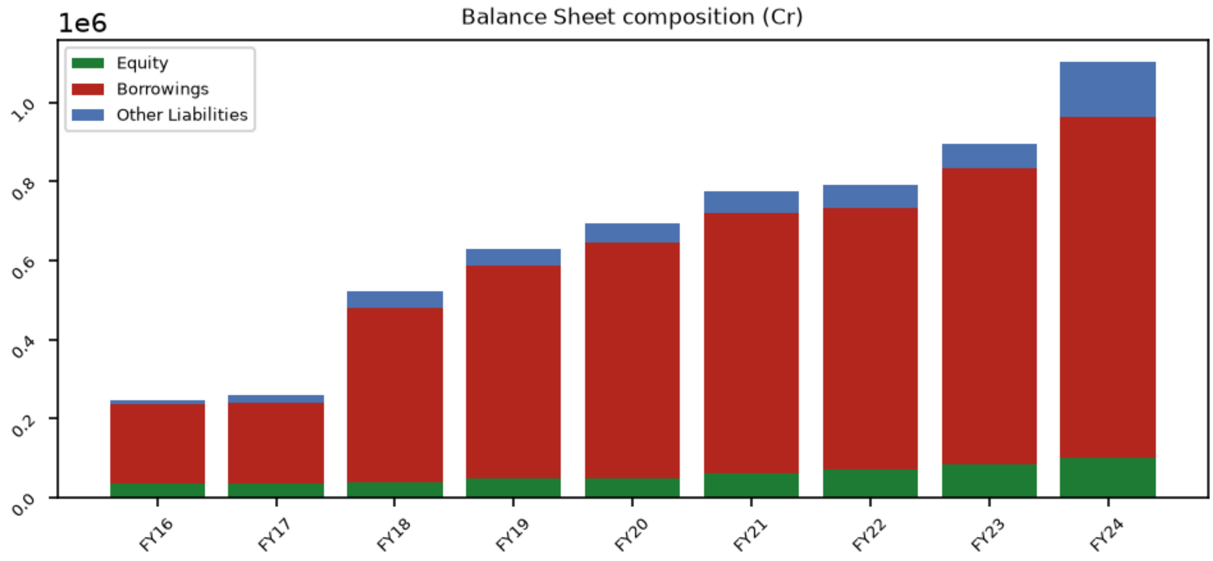
26.2 ROE %	**3.5** ROCE %	**28.9** Net Margin %
8.5x D/E	**11.1** Rev CAGR 5Y %	**35.6** P/E

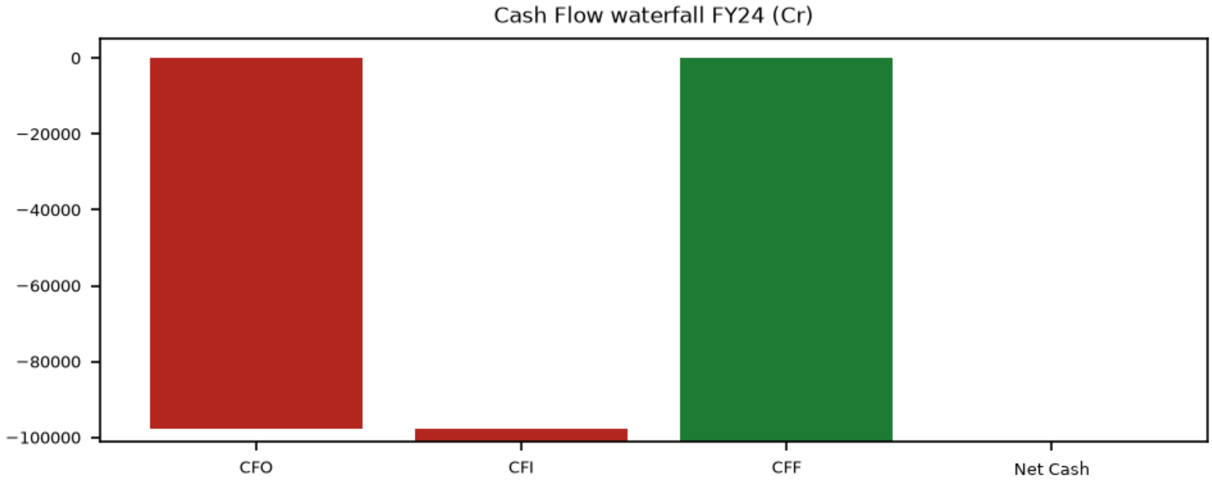






PFC — Balance Sheet & Cash Flow





Pros

- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Operating margins declining for 3 consecutive years suggests pricing or cost pressure

Capital Allocation: Distress - Financing the Burn